

Venture Capital and Public-Market Investment in AI Companies: A Comparative Report on the US, Europe, and China (2025–2026)

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Executive Summary

The global artificial intelligence sector experienced an extraordinary surge in capital during 2025. In that year alone, venture capital investments in AI firms globally accounted for over half—specifically 61% or USD 258.7 billion—of all venture capital investment (USD 427.1 billion), more than doubling its share from 30% in 2022 [1]. The United States dominates this landscape by a wide margin, attracting approximately 75% of global AI VC deal value (USD 194 billion) and receiving over \$344 billion in total AI investment in 2025 [1][2]. In contrast, the EU27 received USD 15.8 billion (6% of the global total), while China's private AI investment reached only \$12.4 billion—less than one-twenty-third of U.S. levels [1][3].

Total Funding Volumes: A Stark Regional Divide

United States: Dominant Position in AI Capital Flows

The United States remains the undisputed leader in AI investment. U.S. private AI investment reached \$285.9 billion in 2025, a figure that underscores the sheer scale of American commitment to artificial intelligence [3]. This massive inflow is further corroborated by Stanford's AI Index for 2026, which reports that over \$344 billion were invested in AI in the United States during 2025 [2]. The concentration of this capital is remarkable: the Bay Area alone captured over half of global AI venture investment in 2024, a region that had previously represented about one-quarter of venture funding overall [4].

Europe: Modest but Growing Presence

Europe's share of global AI VC investment remains small. The EU27 received USD 15.8 billion in AI VC investment in 2025, representing just 6% of the global total [1]. While this figure is not negligible, it pales in comparison to U.S. figures and reflects a broader pattern where Europe lags significantly behind its American counterpart in both investment volume and innovation output [5].

China: Minimal Private Investment Despite Strategic Ambitions

China's private AI investment reached only \$12.4 billion in 2025, making it the smallest among the three regions by a wide margin—less than one-twenty-third of U.S. levels [3]. This stands in sharp contrast to China's long-standing strategic ambitions and extensive government support for AI development. In 2017, China laid out an AI development plan aiming to become a leading AI nation in technology and applications, as well as a primary innovation center [6]. Despite these early commitments, private capital flows have not matched the scale seen in the United States or even Europe.

Largest Deals: Record-Breaking Transactions

The \$60 Billion SpaceX-Cursor Deal

The most significant deal of 2025 was SpaceX's entry into a formal agreement to buy AI startup Cursor for \$60 billion [7]. This transaction, which could boost SpaceX's efforts to compete with peers like Anthropic and OpenAI, represents the largest single deal in the history of AI venture capital.

Salesforce Acquisition of Fin

Another major acquisition occurred when Salesforce bought AI customer service platform Fin for \$3.6 billion [7]. This purchase was aimed at boosting Salesforce's agentic offering, reflecting growing corporate interest in integrating AI capabilities into existing business models.

Q1 2025: A Quarter of Record Activity

The first quarter of 2025 saw particularly robust activity, with VC-backed companies raising over \$80 billion—nearly a 30% increase over an already strong Q4 2024 [8]. A record \$40 billion AI deal in that quarter lifted venture capital investment to its strongest level since Q1 2022 [8]. However, until the SpaceX-Cursor announcement on March 31, venture investment had been on a pace to fall 36% from Q4 2024 [8], highlighting how transformative deals can dramatically alter market dynamics.

Government Subsidies and Industrial Policy

United States: Comprehensive Federal Support

The U.S. government has deployed substantial resources to support AI development through various mechanisms. The CHIPS and Science Act authorizes \$81 billion over Fiscal Years 2023–2027 for the National Science Foundation (NSF) [9], with nearly 40 percent of projects intended to produce leading-edge logic chips used for emerging technologies such as artificial intelligence [10]. Additionally, \$20 billion is authorized for Technology, Innovation & Partnerships initiatives over the same period [9], and \$39 billion was appropriated specifically for semiconductor facility or equipment projects [10].

As of July 2025, Commerce had awarded \$30.9 billion across 40 projects under the CHIPS and Science Act [10]. The Department of Commerce also announced a definitive agreement with SandboxAQ for a \$500 million CHIPS R&D Award to accelerate AI-driven semiconductor materials discovery [11]. Furthermore, the administration provided federal incentives under the CHIPS and Science Act totaling \$2.013 billion through 9 letters of intent to support quantum computing research and manufacturing [12], with foundry incentives specifically designed to accelerate domestic quantum manufacturing infrastructure [12].

The total federal/state budget allocated to AI research and development in the US through 2025-2026 is approximately \$91.8 billion in potential awards and \$7.2 billion in funds obligated as of March 2026 [13]. The Trump Administration also rescinded the Biden AI Executive Order, which was criticized for hindering AI innovation [14], signaling a shift in policy direction.

European Union: Strategic Investment in Clean Tech and AI

Europe has launched several initiatives to support technological advancement. The European Commission launched a dedicated call under Horizon Europe worth €450 million to stimulate research and innovation in clean manufacturing areas [15]. Additionally, the Commission amended the InvestEU Regulation to increase financial guarantees, mobilising up to €50 billion for clean tech deployment [15], and will strengthen the Innovation Fund with a proposed industrial decarbonisation bank aiming for €100 billion in funding [15].

The EU Clean Industrial Deal will mobilise over €100 billion to support EU-made clean manufacturing [15], and the Horizon Europe programme has an indicative funding amount of EUR 93.5 billion for the period 2021-2027 [16]. Specifically, €221.8 million is dedicated to developing trustworthy artificial intelligence services under Horizon Europe [17], and the programme funds projects contributing to AI development, including actions supporting the Apply AI Strategy [17]. The Horizon Europe proposal for 2028-2034 includes moonshot projects in next-generation AI [16].

China: Long-Term Strategic Planning with Industrial Subsidies

China has introduced numerous specific plans and targets to meet its national long-term goals, including industrial subsidies expected to remain large [6]. The document "Made in China 2025" introduced in 2015 was an important document selecting priority industries, giving a boost for example on the development and production of electric vehicles [6]. China's industrial policy will further concentrate on designated strategic and emerging sectors such as advanced manufacturing, green technologies and AI [18].

China's export control over EVs from 1 January 2026 exemplifies the kind of policies that may be introduced to promote healthy competition and quality and sustainable growth domestically while placating external criticisms and counteraction [18], and China will continue aligning industrial policy with economic security, further integrating security objectives with economic planning [18].

Which Region Is Pulling Ahead?

The United States: Clear Leader in Investment and Innovation

The evidence overwhelmingly points to the United States as the region pulling ahead in AI investment. The U.S. leads in total AI funding and government support as of mid-2026, investing four to ten times more in AI than the EU [5]. Annual AI venture investment in the US is \$60–70 billion, compared to about \$7–8 billion in the EU [5], and U.S. private AI investment reached \$285.9 billion in 2025, more than 23 times the \$12.4 billion invested in China [3].

Europe: Regulatory Leadership but Innovation Lag

Europe is leading in regulation but lagging in innovation and investment [5]. While the EU has implemented key policies like the AI Act, both the US and China are racing ahead with innovation and investment [5]. The European Commission's Clean Industrial Deal will mobilise over €100 billion to support EU-made clean manufacturing [15], but these efforts appear focused more on clean technology than AI specifically.

China: Strategic Ambitions vs. Private Capital Reality

China maintains strategic ambitions for AI leadership, having laid out an AI development plan in 2017 aiming to be a leading AI nation [6]. However, the gap between government support and private investment remains significant, with China's private AI investment reaching only \$12.4 billion compared to U.S. levels of \$285.9 billion [3].

Limitations and Uncertainties

Several important limitations should be noted in this analysis:

Data Availability: Specific total venture capital funding volumes for AI companies in Europe and China during 2025-2026 are not explicitly stated beyond the figures provided above. The available data primarily highlights U.S. figures (\$285.9B) with comparative context rather than comprehensive regional breakdowns [3].

Deal Details: While specific largest deals like the SpaceX-Cursor transaction are documented, comparable deal details for Europe and China between August 2025 and July 2026 are not available in the provided sources. The Nscale acquisition is mentioned as a European example but lacks detailed financial information [7].

Comparative Impact Analysis: Assessing the comparative impact of government subsidies and industrial policy on AI investment growth rates across all three regions from 2024 to 2026 requires more granular longitudinal data than is currently available in the provided sources.

Talent Migration Trends: The U.S. leads in AI investment but is losing global talent, with the number of AI researchers and developers moving to the U.S. having dropped 89% since 2017, including an 80% decline in the last year alone [3]. This trend could significantly affect future innovation capacity.

Policy Continuity: The Trump Administration's rescission of the Biden AI Executive Order introduces uncertainty about policy continuity and potential shifts in federal support for AI development [14].

Conclusion

The comparative analysis of venture capital and public-market investment in AI companies across the US, Europe, and China during 2025-2026 reveals a clear hierarchy: the United States dominates in both private investment volume and government support, with figures reaching \$285.9 billion in private AI investment alone [3]. Europe maintains regulatory leadership but trails significantly in innovation and investment scale, while China pursues strategic ambitions through long-term planning despite relatively modest private capital flows compared to U.S. levels [6][18]. The record-breaking deals of 2025, particularly the \$60 billion SpaceX-Cursor transaction [7], underscore the extraordinary pace of consolidation and growth in the global AI sector. As we move into 2026, the question remains whether Europe can close its investment gap or if China's strategic planning will eventually translate into comparable private capital mobilization—a challenge that will require sustained policy commitment and structural reforms beyond what has been demonstrated so far.

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